

Team C - Tribunal

Issue 1

Yes, Clause 21.4 was an effective choice. Article 28 of the UNCITRAL Model Law enumerates rules applicable to the substance of the dispute. It is clear that the present issue concerning the grant of damages is an issue concerning the substantive interpretation of the contract and its application to the present circumstance. It is therefore a dispute concerning the provisions of the matrix contract and not the arbitration agreement. Therefore, since the issue concerns the interpretation of the matrix contract, Article 28 must be invoked.

The UNCITRAL Model Law took a conscious policy decision to include the words “such rules of law as are chosen by the parties.” The Geneva Convention previously used the term “laws applicable to the substance of the dispute” rather than “rules of law.”

This deliberate change was made since the intention was not only to incorporate substantive law, but also to allow the incorporation of non-national or non-municipal norms like the UNIDROIT Principles, trade usages, or *lex mercatoria*, even to the exclusion of a national legal system.

In the same way, the law of Singapore, being the law that determines the conduct of the tribunal, also enables parties to decide the dispute in accordance with the “rules of law” as may be chosen to govern the substance of the dispute. Therefore, even if the tribunal is seated in Singapore, the framing of the Model Law—and Singapore’s national law having been framed in tandem with the Model Law—indicates that a broader conception involving legal as well as non-legal customs, usages, international principles, etc., can also be incorporated and considered by the tribunal while making its decision.

It is also clear that the framing of Clauses 21.1 and 21.4 indicates that the intention of the parties is to enable and empower the tribunal to apply both the laws of the Emirate of Dubai and the UNIDROIT Principles of International Commercial Contracts. Clause 21.4 specifically states that the tribunal shall apply these principles, establishing that it is not merely directory but also mandatory to do so. Clause 21.4 also indicates that this choice of international principles does not erode its previous choice of the national laws of Dubai, since Clause 21.4 begins with the words “in addition to clause 21.1.” It also realizes presciently that there may be a situation where the laws of Dubai may come into conflict with the UNIDROIT Principles, at which point the conflict shall be resolved in favor of the UNIDROIT Principles.

This leads to two outcomes: first, that the drafting of paragraph 1 of Article 28 indicates that the broader framing of “rules of law” allows for importing such international principles in determining the substance of the dispute. Having been enabled to do so, the

parties have also specifically established the importance of considering the UNIDROIT Principles specifically among other international principles, and have established that the conflict between the national and the international shall be resolved in favor of the international principle.

It is therefore held that Clause 21.4 was an effective choice, and by virtue of Article 28, paragraph 1 and the corollary provision of Singaporean national law, it is possible for a tribunal seated in Singapore to apply the UNIDROIT Principles in the determination of the substance of this present dispute.

Issue 2

Indian law in this case cannot be said to be applied as the governing law and is merely relevant as a factual or legal predicate. It is merely used to identify the trigger for the claim of damages made by Meridian.

Undoubtedly, the law of the state in which the performance of the contract is to be undertaken cannot be completely ignored while undertaking an analysis of the substance of the dispute. Therefore, even if in *arguendo* the tribunal had applied the substantive provisions of Indian law, it would not have vitiated the award *prima facie*. Yet, what is observed is that the Indian provisions only indicate the factum of non-performance and provide for its proximate cause. Had the parties agreed to the absolute application of Dubai law, the non-performance and its justification as provided through Indian law would not have been sustained before the tribunal, since Dubai law does not allow for such an exception; at the same time, this justification was permitted before the present tribunal since the UNIDROIT provisions allowed for hardship to be an exception.

The provisions of the contract indicate that the laws of Dubai shall be applied only to the extent that they are amenable to the UNIDROIT Principles. The application of the substantive law is to determine whether the factum of breach and damages has taken place or not. The reason and cause of non-performance is established through the Indian provisions. Therefore, in effect, the tribunal has not applied the Indian export rule as governing law; it has merely identified the export rule as a reason for non-performance and used that as a foundation to build upon the merits of whether a claim for damages is available or not. That fundamental issue—concerning the claim of damages—is still governed by the applicable law as decided by the parties in Clauses 21.1 and 21.4. It is not as if Indian contract law or export provisions were used to justify the exception granted to Saurashtra; the exception was still granted under the hardship provisions of the UNIDROIT Principles. This is ultimately evidenced in the *Ralli Bros* principle concerning impossible or infructuous contracts.

Issue 3

Finally, the award of interest was not open to be granted to Meridian in the presence of Clause 14.3 of the contract. It is clear that Article 28, paragraph 4 establishes the outer

limits of the tribunal's jurisdiction by mandating that the tribunal comply with the express provisions of the contract in determining the substance of the dispute. Since the tribunal is a creature formed out of the contract itself, it does not have the capacity to go beyond the express terms of the contract. Therefore, since Clause 14.3 indicates that no interest shall be payable on any sum under the agreement, the term "any sum" encompasses even interest that may have been imposed on the costs of arbitration. The provision does not state that no interest shall be payable on any award found due under this agreement. In fact, the word "award" is used at the end of the clause to indicate that neither prior to the award nor after the award shall any such interest be granted on any amounts contemplated under the agreement. It is therefore a clear violation of Article 28 and the corresponding Singaporean law, which is not only concerned with the substance of the dispute, but also with the powers of the arbitral tribunal. The competence of the arbitral tribunal cannot be exercised manifestly against the terms of the contract or the *lex fori*. Since the competence of the tribunal here has been seriously exceeded, Article 28, paragraph 4 must be used as a means to strike down the tribunal's grant of interest.

A result of this is that since the arbitrator's competence is in question, Meridian who loses this point on substance will have to take this dispute before the Singaporean High Court since Singapore is determined as the seat